

Reducing Avoidable Returns in Fashion E-commerce

A Product Strategy Case Study for Myntra

PRODUCT **Myntra**ROLE **Product Manager**MARKET **India**

THE PROBLEM

Returns in fashion e-commerce are structurally high. A large share trace back to fit and information gaps — not bad products — and each one costs logistics, inventory and margin.

THE PRODUCT

Myntra — a fashion and lifestyle e-commerce platform. Scope: apparel returns across the journey from product page to keep-or-return decision.

THE MARKET

India — online fashion returns are reported at 25–40%, at or above US apparel benchmarks. Delivery realities (COD, RTO) add further complexity.

CORE PM QUESTION

How might we reduce avoidable returns by closing the expectation gap — without hurting conversion or contribution margin?

THE ONE-LINE INSIGHT

“Returns are not the problem by themselves. The problem is the preventable mismatch between what customers expect and what they receive.”

PUBLIC BENCHMARK

Actual data · cited sources

24.4%

US online apparel & footwear return rate

Coresight, 2023

53%

of surveyed US sellers name size/fit the top return reason

Coresight, 2023

~70%

of apparel returns from poor fit or style

McKinsey survey

ILLUSTRATIVE

Illustrative case assumptions — not Myntra internal data

40%

of returns are size/fit (1M-order dataset)

Case assumption

~65%

of size/fit returns addressable by information

Case assumption

–3.5 pts

overall return rate in the A/B test (25.0% → 21.5%)

Case assumption

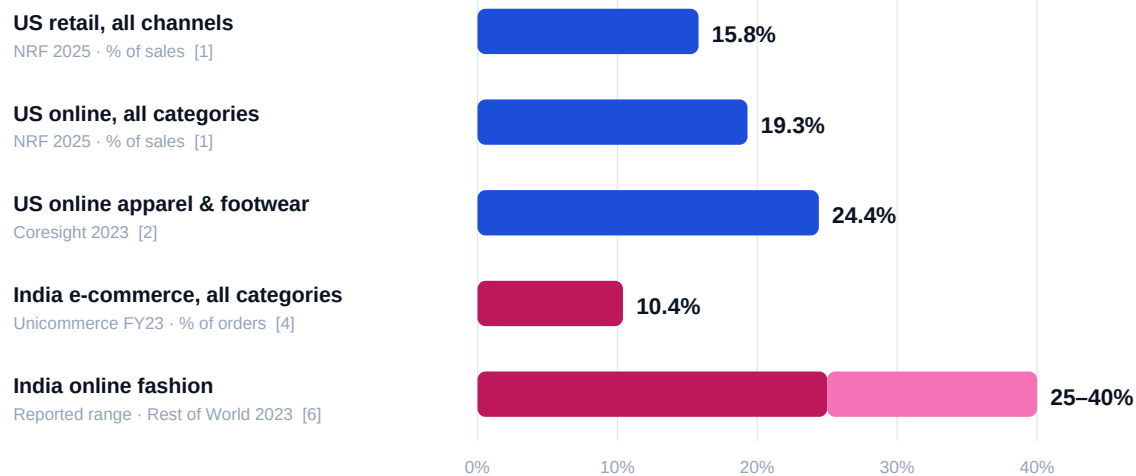
KEY TAKEAWAY

Aim the product at the avoidable share of returns — those caused by missing or misleading information — not at returns in general.

Fashion returns are high, global and fit-driven

PUBLIC INDUSTRY BENCHMARK — SOURCED

Return-rate benchmarks (public data)



Bases differ (sales value vs orders vs units) — read directionally, not like-for-like.

PUBLIC BENCHMARK

53% of US apparel brands and retailers surveyed name size/fit as the top reason for online apparel returns.

PM read: size/fit is the first branch to attack.

Coresight Research, 2023 [2]

PUBLIC BENCHMARK

~70% of apparel returns were caused by poor fit or style, per a returns-management survey of apparel companies.

PM read: fit and style are information gaps, not defects.

McKinsey & Company [3]

WHY FASHION IS STRUCTURALLY HIGHER

- 1 Can't try before buying**
Fit and feel stay uncertain until delivery.
- 2 Sizing differs by brand**
One brand's "M" is another's "L".
- 3 Lenient returns invite bracketing**
Buy several sizes, keep one, return the rest.
- 4 Style is subjective**
Photos rarely settle colour, drape or fabric.

HOW RETURNS HIT THE BUSINESS

Logistics

Each return is a second journey: pickup, QC, repack. US apparel & footwear returns carried \$25.1B in processing cost (2023) [2].

Inventory

Stock in transit is unsellable; slow returns force markdowns on resale [3].

Margins

Wazir: Indian apparel start-ups ran about -5.6% PAT in FY25; acquisition and return economics are cited as the challenge [5].

Customer experience

A poor returns experience can deter future purchases [1].

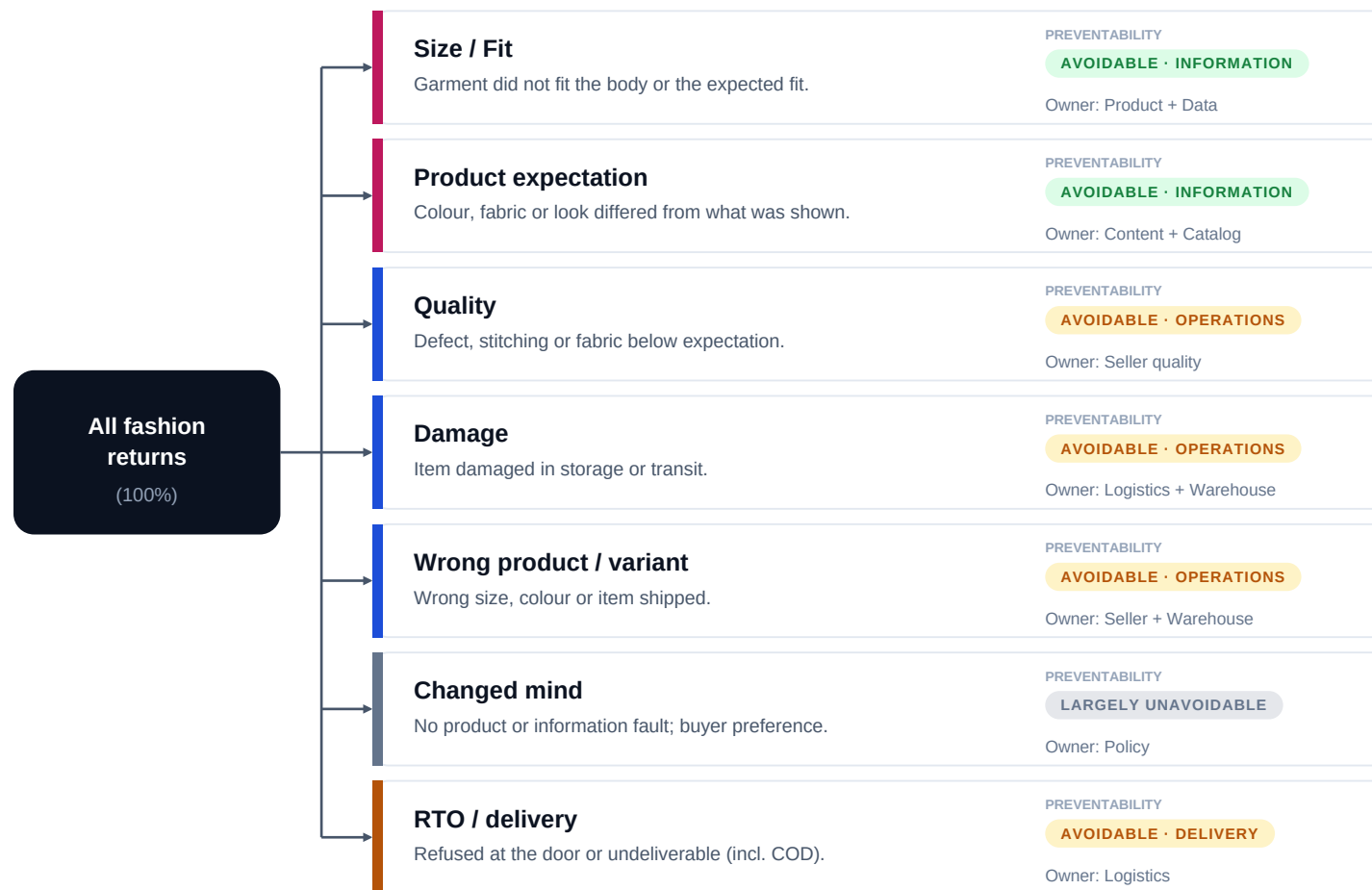
KEY TAKEAWAY

Fashion returns are structurally higher than other categories, and fit is the largest driver — a margin and experience problem a product can address.

Sources: [1] NRF & Happy Returns, 2025 Retail Returns Landscape (Oct 2025) — share of sales returned. [2] Coresight Research, "The True Cost of Apparel Returns" (Apr 2023) — US online apparel & footwear; size/fit figure is the share of surveyed US apparel brands/retailers naming it the top reason. [3] McKinsey & Company, "Returning to Order: Improving Returns Management for Apparel Companies" — pre-pandemic returns-management survey. [4] Unicommerce, India Ecommerce Index Report 2023 — FY23 returned orders as % of orders (as reported by CB Insights). [5] Wazir Advisors FY25 analysis (as reported by DFU Publications). [6] Rest of World, "Stat of the day" (5 Feb 2023) — India online fashion range; supplementary press benchmark. Bases differ (sales value, orders, units): compare directionally.

Not every return is the same problem

Problem tree: every return reason, who owns it, and how preventable it is from the product.



Information gap Supply & quality Behavioural Logistics

RTO is a failed delivery, not a customer return — tracked separately from returns on delivered orders.

WHY “REDUCE ALL RETURNS” is the wrong goal

- Some returns are healthy**
Try-and-return is part of the trust a lenient policy buys.
- Different causes, different owners**
A single target blurs accountability across product, sellers and logistics.
- Blunt levers hurt growth**
Tightening policy lowers returns and conversion together.
- Aggregates hide the mix**
The rate can fall for the wrong reason, e.g. fewer orders.

DEFINITION

An avoidable return is one that better information or process, before purchase or shipping, could have prevented.

PRODUCT GOAL

Shrink the avoidable share — starting with Size/Fit and Product expectation — while protecting conversion and contribution margin.

KEY TAKEAWAY

Segment returns by who can prevent them, then aim the product at the information-gap branches first — “reduce all returns” is the wrong goal.

Two in five returns are about size and fit

ILLUSTRATIVE CASE ASSUMPTIONS — NOT MYNTRA INTERNAL DATA

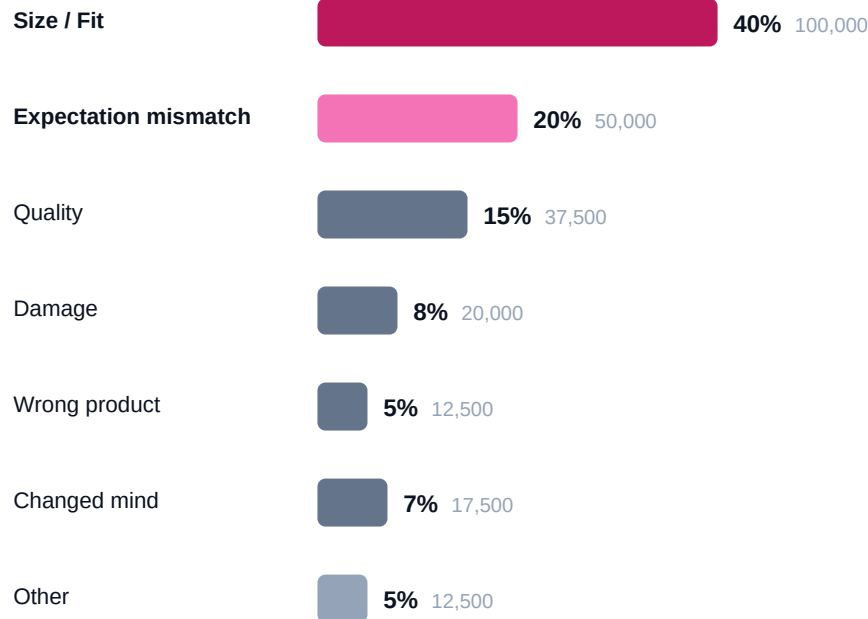
1,000,000 delivered orders

250,000 returned orders · 25% return rate

100,000 size/fit returns · 40% of returns

Why customers return

Share of the 250,000 returned orders

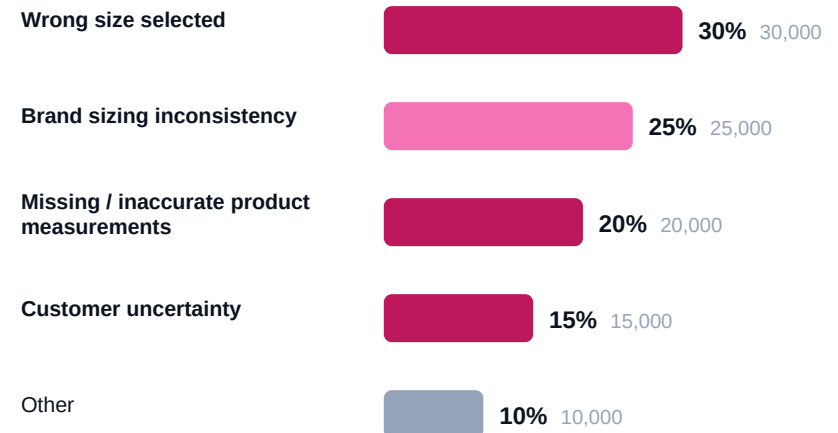


Information gap = 60%

Percentages are case assumptions; counts derived from 250,000 returns.

Inside the 100,000 size/fit returns

Root causes, share of size/fit returns



≈65% of size/fit returns (65,000 orders) are directly addressable by better product information and size guidance.

■ Directly addressable ■ Partly (needs brand feedback) ■ Other

KEY TAKEAWAY

In this illustrative dataset, 40% of returns are size/fit — and about two-thirds of those trace to information the product can fix.

Illustrative case dataset — hypothetical, built because Myntra's internal SKU-level return data is not publicly available. It covers delivered orders only; RTO is tracked separately. Not Myntra internal data.

The gap is in the information, not the product

HYPOTHESES — TO BE VALIDATED, NOT FINDINGS

KEY HYPOTHESIS

“A meaningful portion of avoidable fashion returns are caused not by the product itself, but by an information gap between the customer’s expected fit and the actual product fit.”

INTERVIEW GUIDE (PROPOSED)

1 Before purchase

- Walk me through the last time you bought clothes on Myntra. What made you choose that item?
- What did you look at on the product page before picking a size?

2 Choosing a size

- How do you decide your size — brand label, past orders, measuring, or a guess?
- Have you ever ordered two sizes of the same item? What led to that?

3 After delivery

- Think of the last item that didn’t work out. What exactly was wrong?
- What would have told you that before you ordered?

4 Keep or return

- How did you decide between keeping, exchanging and returning it?
- How would you feel about sharing body measurements — and under what conditions?

Proposed sample: 12–15 shoppers across new/repeat, men/women, metro/tier-2.

HYPOTHESES TO VALIDATE

HYPOTHESIS	HOW WE WOULD VALIDATE
H1 Customers pick size from habit and brand label, not from garment measurements.	Compare chosen size with past kept sizes by brand; code interviews.
H2 The same size label means different things across brands, so past purchases mislead.	Measure garment-spec variance for one label across top brands.
H3 Product measurements are missing, inconsistent or hard to interpret.	Audit measurement coverage and accuracy on a sample of SKUs.
H4 Shoppers want size guidance, but body data is sensitive — so it must be optional.	Concept test; track opt-in rate and privacy complaints.
H5 Logged return reasons are noisy (“size issue” as default), hiding the real mix.	Audit reason codes against inspection or a follow-up survey.

KEY TAKEAWAY

Before building, test one hypothesis: avoidable returns come from an information gap between expected fit and actual fit.

Interview guide and hypotheses are a proposed research plan for this case. No Myntra customer research is reported here; the hypotheses are to be validated with data and interviews before any build decision.

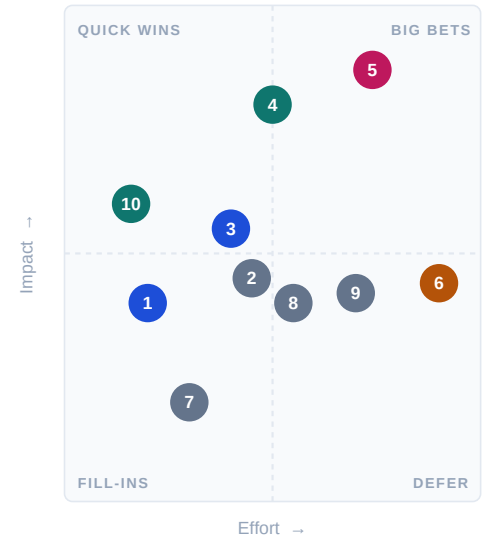
Fix the data before the intelligence

Prioritization matrix: impact on avoidable returns vs. effort, with key risks.

#	SOLUTION	IMPACT	EFFORT	KEY RISK	CALL
1	Better reviews	MED	LOW	Fit tags are sparse on new SKUs; reviewer bias	FOLD IN
2	Product photos / videos	MED	MED	Seller cost; does not fix size selection	CONTENT TRACK
3	Standardized size charts	MED	MED	Brand pushback; still label-based	FOLD IN
4	Product measurement verification	HIGH	MED	Seller effort; audit cost	BUILD NOW
5	Personalized size recommendation	HIGH	HIGH	Cold start; wrong-fit trust; privacy	BUILD NEXT
6	Virtual try-on	MED	HIGH	Accuracy, cost, low adoption	DEFER
7	Brand / customer support	LOW	MED	Reactive; adds cost-to-serve	LOW PRIORITY
8	Seller quality monitoring	MED	MED	Seller friction; slow signal	PARALLEL TRACK
9	Warehouse verification	MED	HIGH	Ops cost; adds delivery delay	PARALLEL TRACK
10	Return-reason analytics	MED	LOW	Noisy reason codes at first	BUILD NOW

Impact = expected effect on avoidable returns. Effort = product + engineering + seller/ops work.

Impact vs. effort



RESULTING SEQUENCE

PHASE 1

Data foundation

#10 analytics, #4 measurements, #3 size charts

PHASE 2

Personalize

#5 size recommendation + #1 fit feedback

LATER

Advanced

#6 virtual try-on, once data is trusted

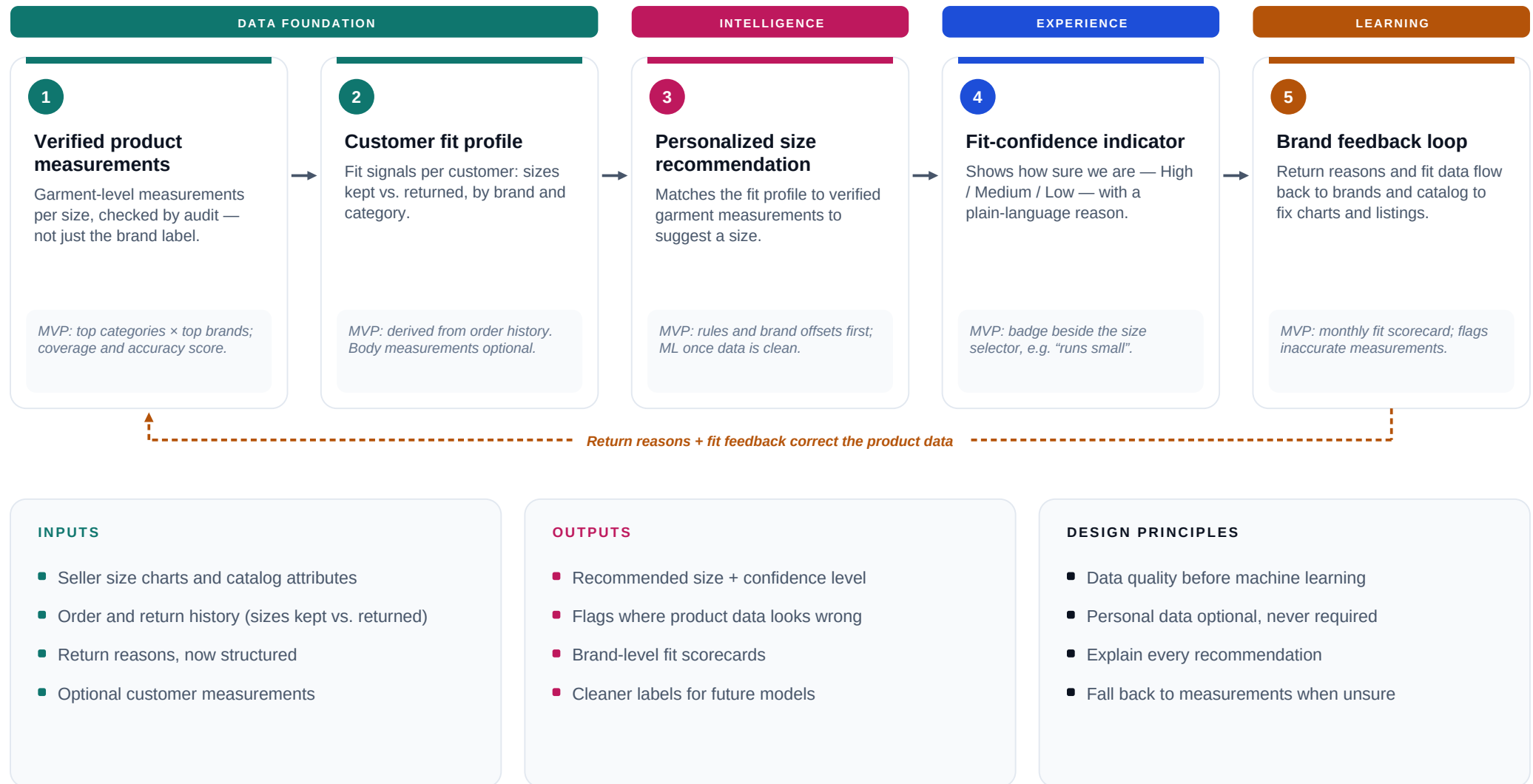
KEY TAKEAWAY

Return-reason analytics and verified product measurements come first, personalization second, and virtual try-on later — it is the costliest and least certain.

Ratings are qualitative PM judgement used to sequence the work; they are not measured results and would be refined with data and engineering estimates.

Verified Product Fit & Information System

Architecture: five components across data, intelligence, experience and learning layers.



KEY TAKEAWAY

One system with five parts: better data in, better decisions out, and every return feeding back to improve the data.

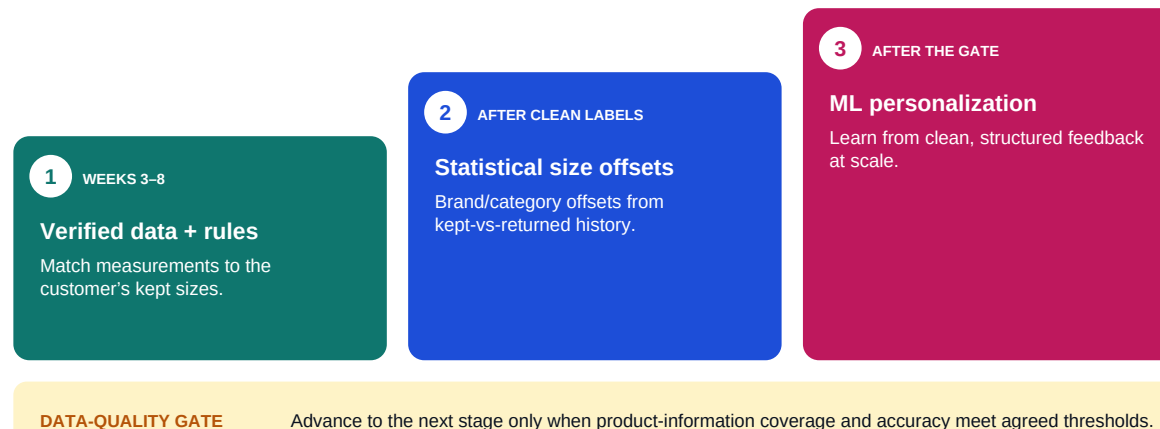
The customer journey, and where ML belongs

End-to-end journey, ML sequencing and the privacy principle.



ML comes after data quality, not before

A model trained on noisy size labels and thin product data learns the noise.



PRIVACY PRINCIPLE

Customer body measurements are optional. Customers can use accurate product measurements without providing personal measurements.

- Default path works with zero personal input.
- Opt-in is explicit, explained and reversible.
- Every recommendation says why it was made.

COLD-START FALLBACK

No profile? The recommendation uses verified product measurements and brand offsets only.

KEY TAKEAWAY

ML earns its place only after product data is trustworthy — and personal data stays optional throughout.

Success is fewer avoidable returns — not just fewer returns

ILLUSTRATIVE CASE ASSUMPTIONS — NOT MYNTRA INTERNAL DATA

NORTH STAR

Avoidable Return Rate

Avoidable returns ÷ delivered orders (size/fit + information-driven expectation returns).

SUPPORTING METRICS

Size/fit return rate

Recommendation adoption

Recommendation success rate

Product information coverage

Product information accuracy

Conversion

CSAT

Repeat purchase

GUARDRAILS — MUST NOT DEGRADE

Conversion

Revenue / order

Contribution / order

Privacy complaints

Wrong-recommendation rate

WHY NOT OPTIMIZE RETURN RATE ALONE

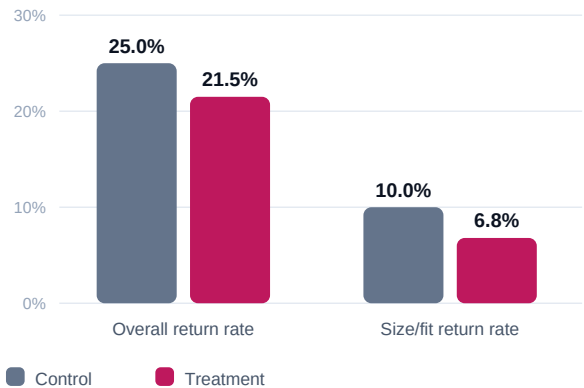
Return rate can be cut by blocking risky orders or tightening policy — at the cost of conversion and revenue. So we judge the launch on contribution economics: margin on kept orders minus the full cost of returns, per order.

A/B experiment — illustrative results

ILLUSTRATIVE

METRIC	CONTROL	TREATMENT	Δ
Conversion	8.0%	7.8%	-0.2 pt
Overall return rate	25.0%	21.5%	-3.5 pts
Size/fit return rate	10.0%	6.8%	-3.2 pts
Recommendation adoption	—	48%	—
CSAT	4.1 / 5	4.4 / 5	+0.3
Repeat purchase	18%	19%	+1 pt

Return rates, control vs. treatment



CONTRIBUTION CHECK

Per 1,000 sessions (illustrative)

Control
80 orders × 75% kept = 60.0 kept

Treatment
78 orders × 78.5% kept = 61.2 kept

+2.0%

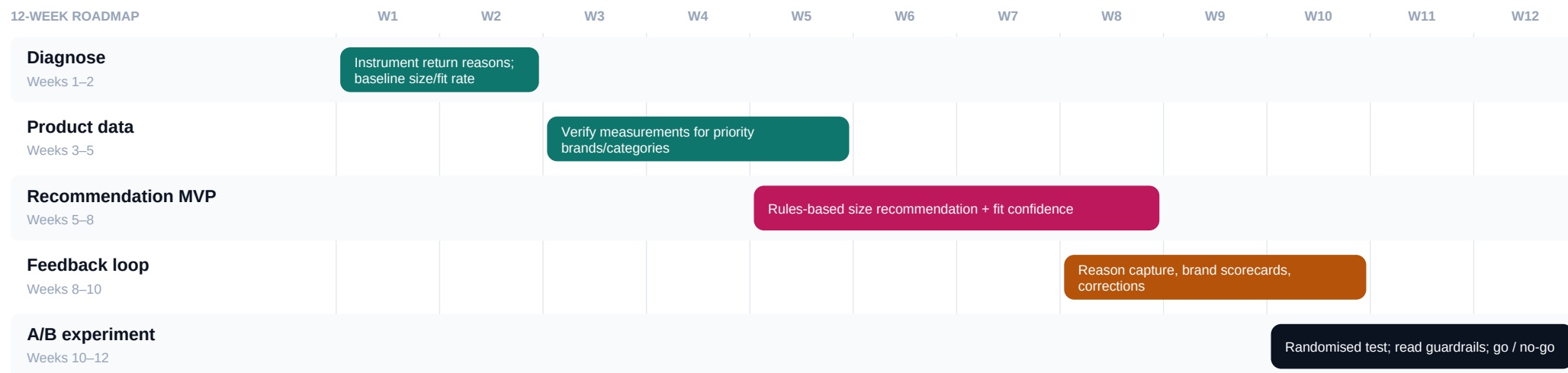
more kept orders despite lower conversion, with fewer reverse shipments. Contribution/order needs finance inputs.

KEY TAKEAWAY

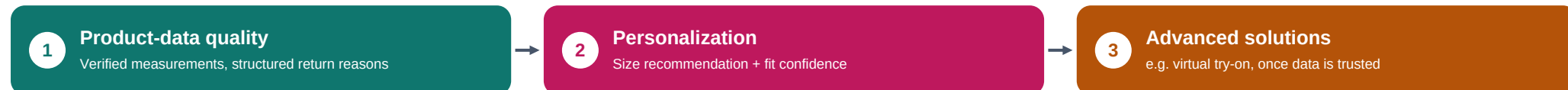
Judge the launch on avoidable returns and contribution economics together; a lower return rate that loses conversion or margin is not a win.

Experiment figures are illustrative case assumptions for a hypothetical A/B test — not Myntra results and not measured data. Derived values (kept orders, deltas) are arithmetic on those assumptions.

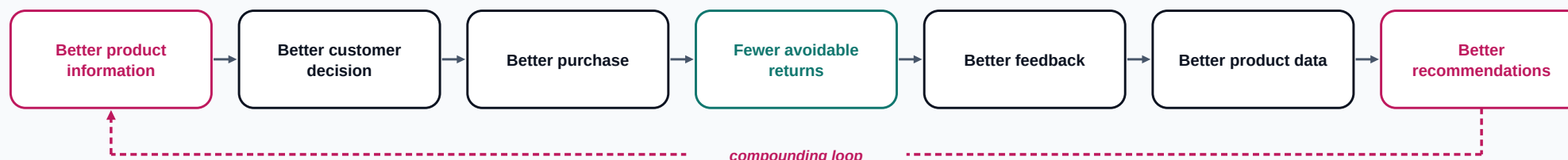
Twelve weeks, in the right order



FINAL RECOMMENDATION — SEQUENCE



THE FINAL PRODUCT LOOP



Each pass through the loop improves the data that the next pass relies on.

PM TAKEAWAY

Don't chase a lower return rate — remove the information gaps behind avoidable returns, and let every return improve the data.